

ALPHA FIRE SERVICES PLC



Interim Financial Report
Period Ended 31 December 2023



*DECADES OF EXCELLENCE IN FIRE
FIGHTING SINCE 1989*

ALPHA FIRE SERVICES PLC**STATEMENT OF COMPREHENSIVE INCOME**

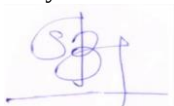
<i>For the Nine months ended 31 December</i>	2023 Three Months Ended Oct-Dec Rs.	2022 Three Months Ended Oct-Dec Rs.	Change %	2023 Nine Months Ended Apr-Dec Rs.	2022 Nine Months Ended Apr-Dec Rs.	Change %
Revenue	80,669,695	56,353,787	43%	252,019,141	211,207,189	19%
Cost of sales	(49,769,853)	(37,363,125)	33%	(161,304,838)	(159,775,239)	1%
Gross profit	30,899,843	18,990,663	63%	90,714,303	51,431,950	76%
Other Income	-	45,320		-	795,320	-100%
Administrative expenses	(12,407,253)	(9,058,009)	37%	(36,418,692)	(25,534,810)	43%
Selling and distribution expenses	(6,845,356)	(3,528,163)	94%	(17,711,812)	(9,919,240)	79%
Profit from operations	11,647,234	6,449,811	81%	36,583,799	16,773,220	118%
Finance income	639,249	323,785	97%	2,929,720	1,290,247	127%
Finance expenses	(2,895,166)	(3,028,133)	-4%	(10,319,204)	(7,816,081)	32%
Net finance income / (expenses)	(2,255,917)	(2,704,348)	-17%	(7,389,485)	(6,525,834)	13%
Profit before taxation	9,391,318	3,745,463	151%	29,194,314	10,247,386	185%
Income tax expenses	(2,174,755)	(749,092)	190%	(7,408,091)	(2,049,477)	261%
Profit after taxation	7,216,563	2,996,370	141%	21,786,224	8,197,909	166%
Other comprehensive income	-	-		-	-	
Total comprehensive income	7,216,563	2,996,370	141%	21,786,224	8,197,909	166%
Earning per share (Rs.)*	0.95	1.09		2.87	2.97	

* Refer Note -8 for computation of Basic EPS

ALPHA FIRE SERVICES PLC
STATEMENT OF FINANCIAL POSITION

	31 December 2023 Rs.	31 March 2023 Rs.
Assets		
Non-current assets		
Property, plant & equipment	74,700,870	60,449,600
Term deposits	28,965,557	29,086,992
Total non-current assets	103,666,427	89,536,592
Current assets		
Inventories	99,228,819	73,978,714
Trade and other receivables	30,189,724	78,893,320
Cash margin account	7,647,358	4,140,451
Cash and cash equivalents	15,427,126	6,742,585
Total current assets	152,493,027	163,755,070
Total assets	256,159,454	253,291,662
Equity and liabilities		
Equity		
Stated capital	76,429,460	25,569,560
Revaluation reserve	26,335,143	26,335,143
Retained earnings	44,267,477	22,481,253
Total equity	147,032,081	74,385,956
Non-current liabilities		
Retirement benefits obligation	3,197,500	3,553,750
Bank borrowings	9,287,417	10,827,583
Deferred tax liabilities	9,262,606	9,262,606
Total non-current liabilities	21,747,523	23,643,939
Current Liabilities		
Lease liabilities	-	409,403
Bank borrowings	6,041,461	19,833,341
Amount due to related parties	3,617,534	12,598,136
Loan from related parties	-	10,000,000
Short term bank borrowings	-	29,840,616
Trade and other payables	44,318,195	55,418,797
Income tax payable	7,408,091	2,946,463
Bank overdrafts	25,994,570	24,215,011
Total current liabilities	87,379,851	155,261,767
Total liabilities	109,127,374	178,905,706
Total equity and liabilities	256,159,454	253,291,662
Net Assets Value Per Share*	19.37	26.95

I certify that the above Financial Statements comply with the requirements of the Companies Act No. 7 of 2007.



Head of Finance

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
 Approved and signed on behalf of the Board of Directors.



Chairman

8 February 2024



Director

* Refer Note -9 for computation of NAV

ALPHA FIRE SERVICES PLC
STATEMENT OF CHANGES IN EQUITY

	Stated capital <u>Rs.</u>	Revaluation reserve <u>Rs.</u>	Retained earnings <u>Rs.</u>	Total <u>Rs.</u>
Balance as at 01 April 2022	25,569,560	1,534,467	8,501,648	35,605,675
Other Comprehensive Income for the period	-	24,800,676	-	24,800,676
Total comprehensive income for the year				
Profit for the year	-	-	13,979,605	13,979,605
Balance as at 31 March 2023	25,569,560	26,335,143	22,481,253	74,385,956
Rights Issue	50,859,900	-	-	50,859,900
Total comprehensive income for the year				
Profit for the year	-	-	21,786,224	21,786,224
Balance as at 31 December 2023	76,429,460	26,335,143	44,267,477	147,032,080

ALPHA FIRE SERVICES PLC
STATEMENT OF CASH FLOWS

<i>For the Nine months ended 31 December,</i>	2023	2022
	Rs.	Rs.
Cash flows from operating activities		
Profit before taxation	29,194,314	10,247,386
Adjustments for:		
Profit on Disposal of Property Plant Equipment	-	(750,000)
Depreciation of property plant and equipment	1,672,730	1,773,857
Interest income	(2,929,720)	(1,290,247)
Loan interest	6,168,722	181,855
Operating profit before changes in working capital	34,106,047	10,162,852
Changes in working capital		
Increase/ (decrease) in inventories	(25,250,105)	3,450,514
(Decrease) / increase in trade and other receivables	48,703,596	(3,481,393)
Increase in amount due to related parties	(8,980,602)	(2,296,309)
Decrease in trade and other payables	(11,100,602)	(36,029,497)
Cash generated from / (used in) operations	37,478,334	(28,193,833)
Income tax paid	(2,946,463)	-
Gratuity paid	(356,250)	(168,750)
Net cash flow generated from / (used in) operating activities	34,175,621	(28,362,583)
Cash flows from investing activities		
Sale /(Acquisition) of property, plant and equipment	(15,924,000)	405,033
Interest Income	930,726	-
Withdrawal of Fixed Deposit	2,120,427	1,323,629
(Investment in) /withdrawal of cash margin	(3,506,908)	(688,000)
Net cash flow used in investing activities	(16,379,754)	1,040,663
Cash flows from financing activities		
Received from Share Issues (Rights Issue)	50,859,900	-
Long term loan (paid) / received	(15,332,046)	16,532,662
Short term loan (paid) / received	(29,840,616)	20,194,737
Loan interest paid	(6,168,722)	-
Lease rental paid	(409,403)	(1,370,298)
settlement of related parties' loan	(10,000,000)	-
Net cash flow (used in)/generated from financing activities	(10,890,888)	35,357,101
Net changes in cash and cash equivalents during the year	6,904,981	8,035,182
Cash and cash equivalents at beginning of the year	(17,472,426)	(19,274,882)
Cash and cash equivalents at end of the year	(10,567,446)	(11,239,700)

ALPHA FIRE SERVICES PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Nine months ended 31 December

1 Basis of Preparation

The interim Financial Statements have been prepared in accordance with Sri Lanka Accounting Standard for Small and Medium-sized Entities ("SLFRS for SMEs") and the same accounting policies and methods set out in the Audited Financials Statements for the year ended 31st March 2023 and are in compliance with LKAS 34 – Interim Financial Reporting. The presentation and classification of comparative information have been amended where relevant.

2 Contingencies

The Company does not have any other significant contingent liabilities outstanding as at the reporting date which require adjustments to or disclosure in the financial statements.

3 Events occurring after the reporting date

There were no material events occurring after the reporting date which require adjustments to or disclosures in the financial statements.

4 Subdivision of Shares

Shareholders of the Company at its Extraordinary General Meeting held on 16 January 2024 has approved that the number of ordinary shares of the Company in issue be increased by way of a sub-division of shares where by one (01) ordinary share was subdivided in to five (5) ordinary shares. The resulting number of shares after the sub-division is 37,950,000. There was no change to the stated capital of the Company subsequent to the said sub-division of shares.

5 Capital Expenditure

The Company has incurred Rs.15,924,000 for capital expenditure for the reporting period.

6 Management Fee

The Company has made a provision for Management Fee Rs.5.4 Mn payable to M/S Amtek Engineering (Pvt) Ltd for the reporting period.

7 Transactions with Related parties

Name of Related Parties and the Relationship	Transaction	Transaction during the Period	
		31 December 2023	31 December 2022
Amtek Engineering (Pvt) Ltd -	Office Expenses		
Common Directors	Reimbursement	1,935,000	1,215,000
Mr. Sanjay Vijith Anthony Perera	Management Fee	5,400,000	5,400,000
Mr.Malindra Christopher Fernando	Loan Settled	10,000,000	-
Mr.Samud Gunasekera			
Mrs.Deanna Ryde	Rent	360,000	360,000

8 Earning per share

Earnings per share is calculated by dividing the profit attributable to the equity holders by number of ordinary shares in issue during the reporting period.

	31 December 2023	31 December 2022
Net profit attributable to equity holders (Rs.)	21,786,224	8,197,909
Number of shares in issue	7,590,000	2,760,000
Earnings Per Share (Rs.)	2.87	2.97

9 Net Assets per share

Net Assets per share is calculated by dividing the total equity by number of ordinary shares in issue during the reporting period.

	31 December 2023	31 March 2023
Total Equity	147,032,081	74,385,956
Number of shares in issue	7,590,000	2,760,000
Net Assets Per Share (Rs.)	19.37	26.95

ALPHA FIRE SERVICES PLC
SHAREHOLDERS INFORMATION

The issued ordinary shares of the Company is 7,590,000

LARGEST 20 SHAREHOLDERS AS OF 31 DECEMBER 2023

	NAME OF THE SHAREHOLDERS		NO OF SHARES	%
1	MR. S.V.A. PERERA	2,093,300		
	DFCC BANK PLC/MR.S.V.A.PERERA	107,800	2,201,100	29.00%
2	MR. M.C. FERNANDO	1,579,275		
	DFCC BANK PLC/MR.M.C.FERNANDO	2,750	1,582,025	20.84%
3	MR. A.S.I. GUNASEKERA		763,889	10.06%
4	ESTATE F.A. RYDE		676,200	8.91%
5	PEOPLE'S LEASING & FINANCE PLC/ULTRAKLEEN (PVT) LTD		479,814	6.32%
6	SANDWAVE LIMITED		365,700	4.82%
7	MRS. M.P.R. SILVA		205,000	2.70%
8	TRADING PARTNERS (PVT) LTD		200,000	2.64%
9	PEOPLE S LEASING AND FINANCE PLC/U.L.B.ARIYARATNA		100,000	1.32%
10	MR. J.R. VICTORIA		96,267	1.27%
11	MISS H.I. LOKUGE		75,000	0.99%
12	MR. R.J.A. GUNAWARDENA		66,370	0.87%
13	MRS. C. DISSANAYAKE		65,141	0.86%
14	PEOPLE'S LEASING & FINANCE PLC/L.P.HAPANGAMA		55,500	0.73%
15	MR. M.M. FUAD		49,886	0.66%
16	LOLC FINANCE PLC/Y.M. AMBANI		42,174	0.56%
17	MR. B.T. DE S WEERASOORIA		40,000	0.53%
18	MR. A.V.I. GUNAWARDENA		33,276	0.44%
19	MRS. I.M. AMARASIRIWARDANE		30,438	0.40%
20	MRS. Z. ZAHARA		30,028	0.40%
	Others		432,192	5.69%
	Total		7,590,000	100.00%

Public Holding

Public Holding - No of Shares	1,886,972
Public Holding as a % of Issued Share Capital	24.86%
Total No. of Shareholders representing the Public Holding as at 31 December 2023	262

Directors' Shareholding

	No of Shares
Mr. Sanjay Vijith Anthony Perera	2,201,100
Mr.Malindra Christopher Fernando	1,582,025
Mrs. Deanna Marise Ryde	Nil
Mr. Agampodi Samud Ishara Gunasekera	763,889
Mr. Kapila Liyanagamage	Nil
Mr. Ranil De Silva	Nil

Share Price
31 December 2023

Highest Price	40.00
Lowest Price	30.00
Last Traded Price	35.90

Corporate Information

The Company Registered Office

Alpha Fire Services PLC
No, 28, Sulaiman Terrace, Colombo-05
Sri Lanka
Tel: +94 11 508 888 / 0777 747 317
Fax: +94 112 503 392
Web: <http://alphafire.lk>

Legal Form of the Company

Incorporated in Sri Lanka on May 07, 2003 and reregistered on October 16, 2007 as a Private Limited Liability Company under the provisions of Companies Act No. 7 of 2007. The legal form of the company was changed from Limited Company to Public Listed Company under provision of the section 8 of the Companies Act No. 07 of 2007 on July 04, 2022

Company Registration Number (as a Public Company)

PQ00248999

Place of Incorporation

Colombo, Sri Lanka

Company Secretaries

Ms. F. S. Ismail
168/5, Elvitigala Mawatha,
Colombo 08,
Sri Lanka
Tel: +94 11 2695009

Auditors

M/s KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03,
Sri Lanka
Tel: +94 11 5426426
Fax: +94 11 2445872

Board of Directors

Mr. Sanjay Vijith	Chairman/Managing Director
Anthony Perera	/Executive Non-Independent Director
Mr. Malindra Christopher Fernando	Executive Non-Independent Director
Mrs. Deanna Marise Ryde	Co-Founder/Non-Executive Non-Independent Director
Mr. Agampodi Samud Ishara Gunasekera	Executive Non-Independent Director
Mr. Kapila Liyanagamage	Independent Non-Executive Director
Mr. Nivran Weerakoon	Independent Non-Executive Director